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Case No. EC-2002-01038
Doc No. E6282A040
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
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RELEASE IN PART

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Subject: Fwd: LA Times - Creditors Chafe at State's Pace on Power Crisis

----- Forwarded by Jeff Dasovich/NA/Enron on 02/15/2001 11:31 AM -----

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----- Message from "Tracey Bradley" <tbradley@bracepatt.com> on Thu, 15 Feb 2001 09:12:01 -0600 -----
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Subject: LA Times - Creditors Chafe at State's Pace on Power Crisis
Creditors Chafe at State's Pace on Power Crisis

By NANCY RIVERA BROOKS, DAN MORAIN, Times Staff Writers

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The California energy crisis is hurtling along two tracks--one the slow lane of legislative politics, the other the hyper-speed autobahn of high finance.

As Stage 3 electricity alerts and billion-dollar debts mount, some travelers on those intersecting byways are strapping themselves in for what they see as a looming pileup, perhaps at the doors of the U.S. Bankruptcy Court.

Wall Street is becoming increasingly irritated with the deliberative pace of the California Legislature and Gov. Gray Davis and his months of unfulfilled vows of a remedy.

Those owed money by Southern California Edison and Pacific Gas & Electric said Wednesday that they cannot not wait forever to be paid.

"The pace of progress is not sufficient," said Joe Bob Perkins, president of Reliant Energy, a major power supplier in the state. "Our accounts receivable from the past aren't being taken care of and the bleeding is growing."

In Sacramento, no immediate first aid is on the way.
Davis, who says he will announce his latest plan to solve the utilities' financial meltdown on Friday, left little doubt on Wednesday that he intends to press for a state takeover of the massive electricity transmission system, despite its huge value to the utilities. But key legislators predict that, no matter what the governor proposes, they are at least two weeks away from passing legislation to improve the situation.

Bob Foster, the Edison official who oversees governmental affairs, said the question of bankruptcy is "a day-to-day thing. There are signs that creditors are getting increasingly nervous, increasingly impatient."

"We were told last week that there will be a proposal from the administration, and we're still waiting," Foster said.

Senate President Pro Tem John Burton (D-San Francisco) said that if Davis and lawmakers cannot resolve the matter within the next two weeks, "we aren't going to be able to solve it, and it will be in other people's hands."

Edison and PG&E have said they do not want to file for bankruptcy protection and will do so only if forced by their creditors. A prelude to bankruptcy, the formation of creditors committees, already has begun. Each utility can be forced into bankruptcy by as few as three creditors owed as

little as $10,775 in unsecured debts, bankruptcy experts say.

"We respectfully believe that the state has less time than they might otherwise think," Gary Dunton, president and chief executive officer of MBIA Inc., a firm that insures $1.3 billion of the utilities' debt.

"If someone called me an hour from now [to announce a bankruptcy filing]," Dunton added, "I wouldn't be surprised. We have been very clear that we are frustrated with the timing, and apparent lack of urgency.

"If you have 100 people cooking a stew, it may never be edible."
Not everyone, however, believes that the prolonged legislative process will make much difference in the long run, despite the howls from creditors' and utilities.

"I don't sense that there is a sense of urgency," said Assemblyman George Runner Jr. (R-Lancaster). Runner, like other legislators, pointed to repeated deadlines that have come and gone without a bankruptcy, and said: "Crying wolf can go so far."

Some legislators blame Davis for the delays.

"The Legislature will pass enabling legislation. But people are waiting to hear from [the governor's] corner office," said Assembly Republican leader Bill Campbell of Villa Park, who has not conferred with Davis for a week. "We think it is serious. But it is a frustrating situation."

Some lawmakers in Sacramento believe that not all the legislative gears are in sync, thus complicating progress. They say Davis has positioned himself politically so that the Legislature will carry the brunt of the blame when potential rate increases come into effect.

"The governor is out there saying no more rate increases and that he's on the side of consumers, while we have to do the dirty work," fumed an Assembly Democrat, who requested anonymity out of fear that his comments would only inflame an already tense relationship between the executive and the Legislature.

That irritation grew among Assembly Democrats when a poll they recently commissioned showed the Legislature's approval rating had dropped 25 points, while Davis' rating remained relatively high. The poll, conducted in late January by the Sacramento firm Moore Methods, showed Davis with a 45% approval rating, compared with only 25% for the Legislature.